NOTE 11 - INCOME TAXES

For the years ended October 31, 2023 and 2022, the Company had income tax expense(credit) in the amount of ($2,092,461) and $4,924,878, respectively. The income tax credit for year ended October 31, 2023 was due to the adjustment to income taxes payable resulting from the net loss before taxes for the year ended October 31, 2023 of $3,416,587). During the years ended October 31, 2023 and 2022, the Company paid income taxes totaling $1,013,417 and $1,592,781, respectively.

United States

The Company was incorporated under the laws of the State of Delaware on October 25, 2019. The U.S. federal income tax rate is 21%.

Japan

The Company conducts its major businesses in Japan through WSP Japan and is subject to tax in this jurisdiction. As a result of its business activities, the Company files tax returns that are subject to examination by the local tax authority.

The Company is subject to a number of income taxes, which, in aggregate, represent a statutory tax rate approximately as follows:

	Company's assessable profit		
For the year ended October 31,	Up to JPY 4 million	Up to JPY 8 million	Over JPY 8 million
2023	23.15%	25.73%	38.07%

As of October 31, 2023 and October 31, 2022, the Company had income tax payable of $117 and $3,329,572, respectively.

As of October 31. 2023 and October 31, 2022, the Company had deferred tax assets of $27,841 and $307,438, respectively.

For the years ended October 31, 2023 and 2022, the Company's income tax expenses (credit) are as follows:

	For the Years Ended October 31,	
	2023	**2022**
Current	$ (2,352,130)	$ 5,282,697
Deferred	259,669	(357,819)
Total	$ (2,092,461)	$ 4,924,878

A reconciliation of the effective income tax rates reflected in the accompanying consolidated statements of operations to the Japanese statutory tax rate for the years ended October 31, 2023 and 2022 is as follows:

	For the Years Ended October 31,	
	2023	**2022**
Japanese statutory tax rate	34.59%	34.59%
Change in valuation allowance	(0.19)	1.01
Tax credit	(9.00)	-
Effective tax rate	25.40%	35.60%

The tax effects of temporary differences that give rise to the deferred tax assets at October 31, 2023 and 2022 are presented below:

	October 31, 2023	October 31, 2022
Deferred tax assets		
Business tax payable	$ -	$ 307,438
Loss carry forward	26,255	-
Other	89,684	82,991
Subtotal	115,939	390,429
Less valuation allowance	(88,098)	(82,991)
Total deferred tax assets	$ 27,841	$ 307,438

The realization of deferred tax assets is dependent upon the generation of sufficient taxable income of the appropriate character in future periods. The Company regularly assesses the ability to realize its deferred tax assets and establish a valuation allowance if it is more-likely-than-not that some portion of the deferred tax assets will not be realized. The Company weighs all available positive and negative evidence, including its earnings history and results of recent operations, projected future taxable income, and tax planning strategies.

The amount of the deferred tax asset considered realizable, however, could be adjusted if estimates of future taxable income during the carryforward period are reduced or increased or if objective negative evidence in the form of cumulative losses is no longer present and additional weight may be given to subjective evidence such as the Company’s projections for growth. The adjustments of a valuation allowance against deferred tax assets may cause greater volatility in the effective tax rate in the periods in which the valuation allowance is adjusted. For the year ended October 31, 2023, certain valuation allowance was released for WSP Japan considering the collectability of deferred tax assets.

As of October 31, 2023, WSP Japan had net operating losses which can be carried forward for income tax purposes of $75,904 to reduce future taxable income. If not used, these carryforwards will expire in 2033.